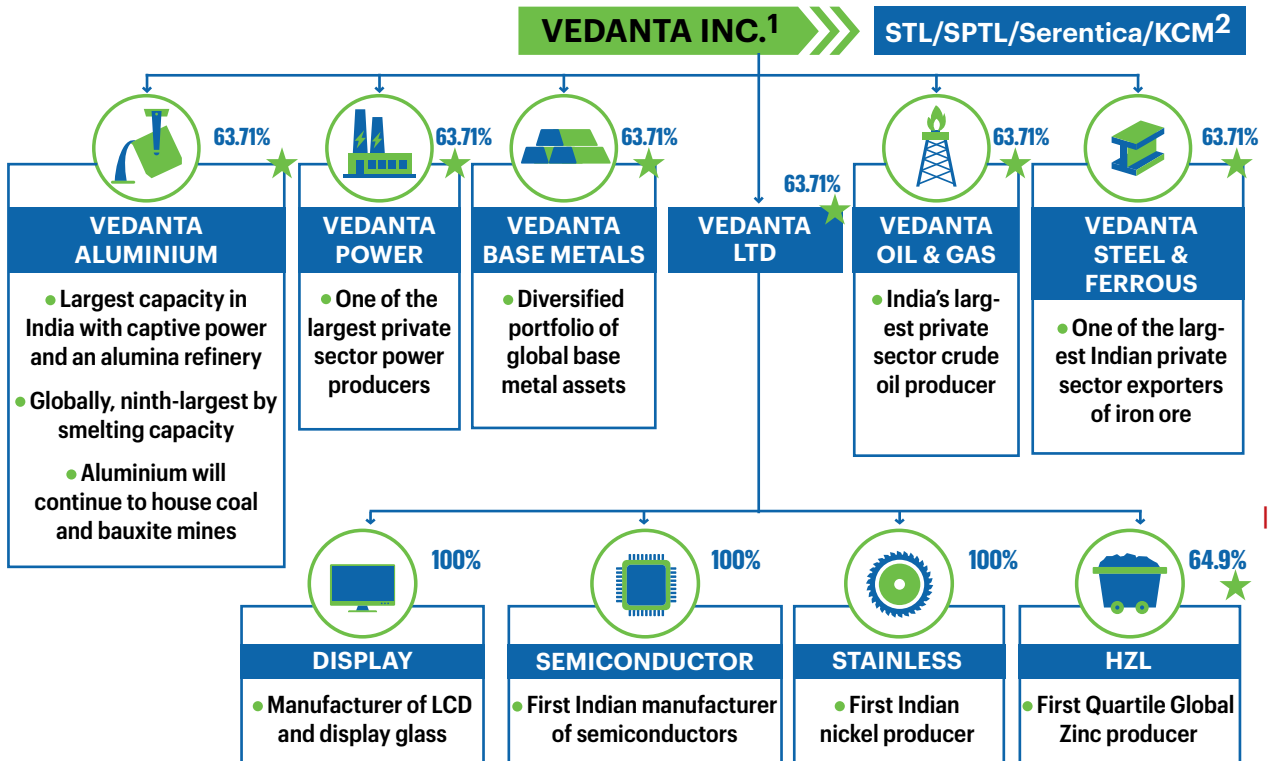


STRONGER APART

The proposed structure after Vedanta Ltd demerger

» Vedanta may now find it easier to divest assets to deleverage its balance sheet

» Investors looking to invest in specific industries would find it easier since there will be an option to look at separate businesses instead of one large entity



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1. Volcan Investments Limited renamed as Vedanta Incorporated

2. Sterlite Technologies Limited (STL); Sterlite Power Transmission Limited (SPTL); Serentica Renewables (Serentica); Konkola Copper Mines Plc (KCM)

SOURCE: COMPANY, KOTAK INSTITUTIONAL EQUITIES

the acquisition of smaller businesses (it has acquired a number of steel and power businesses) have brought down the group's Ebitda, and its returns on equity and capital employed. "Take the case of semiconductors; that requires huge capital, and even globally, generates Ebitda margins only in single digits," he says.

Experts suggest one possible rationale behind the move could be the management's desire to attract funds from investors looking to put money in specific businesses. "Most of the

businesses have good earning potential and generate good cash flows. Besides, the overall commodity cycle is still looking good," says Mahesh Singhi, Founder & MD of corporate advisory Singhi Advisors. He also points out that the company has been through a number of difficult situations in the past. "There is no fundamental problem with any of its businesses. On the issue of debt, the banks will give the company [credit], and the option of divesting a part of the holding always exists," he adds.

To be sure, the possibility of selling some businesses could be considered in the future. And opportunities along those lines could be created in the steel and power space, as it could attract the interest of strategic or private equity investors. The immediate priority, however, is to address the debt repayment schedule, and with the planned demerger, it will be interesting to see how the lenders take it, and the story unfolds. **BT**

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